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US Economics Weekly

A more hawkish reaction function

CITI'S TAKE

We were neither expecting the sharp rise in energy prices nor the Fed's increased willingness to react to them with higher interest rates. A reaction function that includes energy prices means risks skew hawkish in the near-term and make it hard for the market to price-out aggressive rate hikes until data convincingly show either slowing inflation or softening activity. That dynamic took Treasury yields meaningfully higher this week. But fundamentally, we see underlying inflation cooling. Higher long-term interest rates should slow growth and loosen labor markets. In our base case, the Fed will pursue significantly less hawkish policy than what is currently priced by the market.

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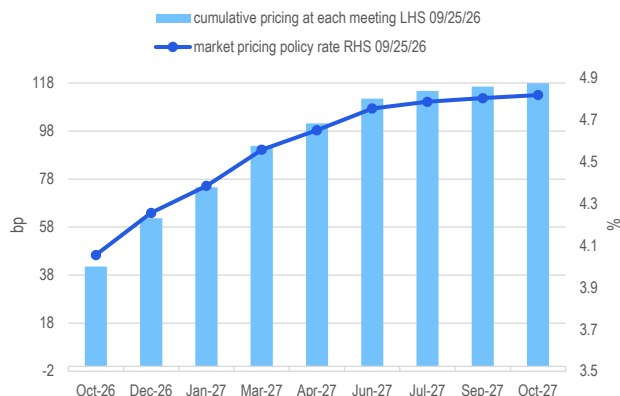
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See Appendix A-1 for Analyst Certification, Important Disclosures and Research Analyst Affiliations.

In late August, the market had largely priced-out Fed rate hikes for this year. Oil prices were off their highs and two months of data showed cooler core inflation and slower payrolls growth. But the situation has changed materially since that time and markets now price an additional ~100bp of hikes beyond the 25bp delivered last week. Ten-year Treasury yields increased by about 20bp on the week, reaching a multi-year high of 5.2%.

Figure 1. Market is pricing in substantial further hikes



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Source: Citi Research, Bloomberg

Figure 2. Short-term yields have been sensitive to energy prices



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Source: Citi Research, Bloomberg

At least three factors have pushed yields significantly higher over the last month.

- 1) Energy prices have increased. Diesel prices, an important factor in transportation costs, have reached new highs.
- 2) The last month of US economic data show resilient growth (including this week's PMI), a stable labor market, and above-target inflation.
- 3) Chair Warsh and the committee expressed a considerably more hawkish reaction function which will now directly react to, rather than "look through" supply-side shocks.

In our view, it is development (3) that is most important in explaining the rise in Treasury yields as higher energy prices appear to now directly enter the Fed's reaction function. Cleveland Fed President Hammack summarized the view that due to the multi-year overshoot, interest rates must become more reactive to supply shocks:

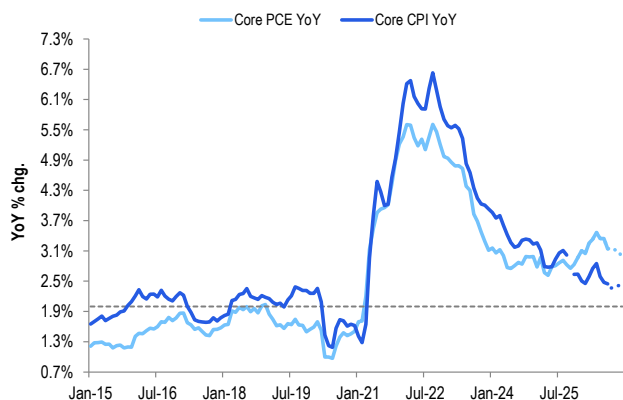
"The conventional view is that monetary policy should look through a supply shock but when the environment is more prone to shocks, or the shocks arrive one after another in a period when inflation has been elevated for years, there's a greater risk that an inflationary mindset could take hold"

Until there is a reversal in one or more of the three key drivers, there will be no reason for Fed officials to sound less hawkish or for markets to price a more dovish policy path. It is unlikely that the Fed's reaction function – which has now been established as more hawkish, would shift significantly in the near term.

We – and most other observers – continue to expect oil prices and broader energy prices to fall significantly at some point in the next year.

By our analysis, most measures of “underlying” inflation are slowing and not too far off from target. Core CPI at 2.4%YoY – just 0.1pp above its pre-pandemic norm – is a prime example. But Fed officials appear to be watching other indicators to determine whether or not inflation is slowing at an acceptable pace. Core PCE itself remains elevated and even after downward revisions will finish the year running at close to 3%. “Supercore” inflation (core services ex-shelter) is elevated on higher airfares and (in PCE) higher equity prices that feed into “portfolio management fees.”

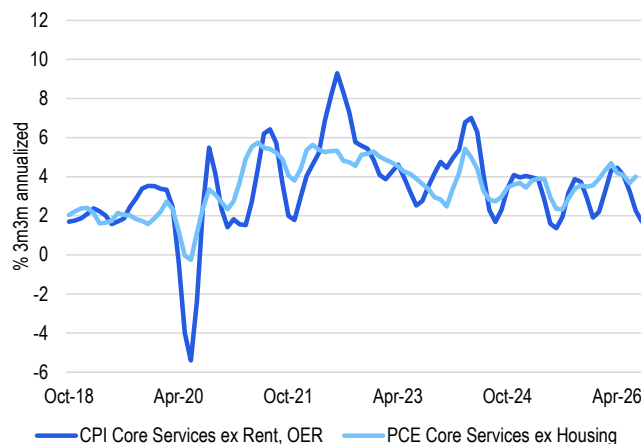
Figure 3. Core PCE remains elevated relative to pre-pandemic norms



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Source: Citi Research, BEA, BLS

Figure 4. Supercore inflation has cooled but remains elevated in PCE



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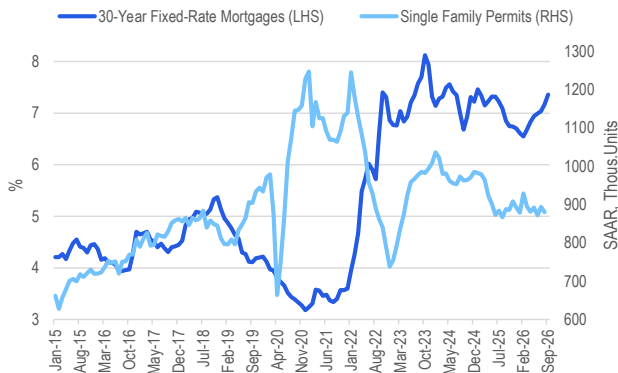
Source: Citi Research, BEA, BLS

Base effects alone mean there is a low bar for year-on-year inflation readings to continue to cool. And given the (in our view) encouraging underlying trend, core measures should also continue to come in cooler in coming months. Even accounting for “residual seasonality” in January and February, we think inflation will have cooled sufficiently to have the Fed cutting in mid-2027.

But that story will take months to play out in the data. The only near-term driver of more dovish pricing would be a slowing in economic growth. Data this week reinforced that the economy was solidly expanding before interest rates and energy prices increased. PMI indices were stronger than expected with services rising to 58.7 from 56.5 and manufacturing up to 57.0 from 53.9. Core capital goods orders rose a strong 1.6%, consistent with a manufacturing sector that is holding up well.

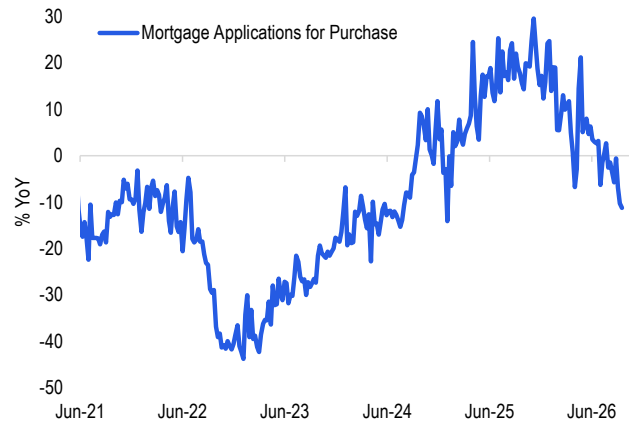
The housing sector, which is already in contraction, is most interest rate sensitive and likely will be the first place where a slowdown is apparent in the data. In coming months, we expect a further decline in single-family housing starts. A significant overhang of inventory will put downward pressure on house prices.

Figure 5. Higher mortgage rates should dampen single-family building permits further



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Source: Citi Research

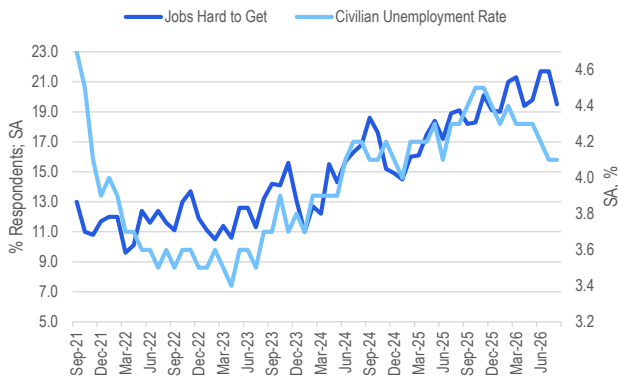
Figure 6. Mortgage applications are already weakening



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Source: Citi Research

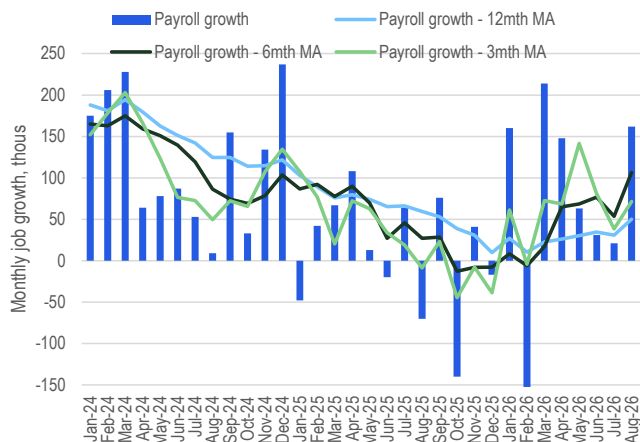
It will likely take longer to see the effect of higher interest rates on the labor market. When the Fed raised policy rates aggressively in 2022, it took about six months before the labor market responded. On the margin, higher borrowing costs for firms will damp demand for new workers, keeping hiring rates at historically low levels. While the labor market has been “stable” in the sense that the unemployment rate has remained steady around 4.1%, the sharp drop in the participation rate and difficulty in finding a job do not make the labor market as immune to rate hikes as Chair Warsh has suggested.

Figure 7. Labor market conditions are gradually softening



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Source: Citi Research, The Conference Board, BLS

Figure 8. Job growth has been volatile but solid



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Source: Citi Research, BLS

Next Week—Focus turns to inflation and labor market data

Next week's focus will be on September payrolls and August PCE inflation data. We expect payroll growth to slow to 85k after August's surprisingly strong 162k gain, with ongoing volatility and potential revisions continuing to complicate the labor market signal. While jobless claims remain very low, underlying job growth is likely

being restrained by a smaller labor force as immigration slows and population aging continues. We think wage growth will be an increasingly important variable to watch for signs of any retightening in the labor market. Average hourly earnings modest at 3.1% in September would not suggest this is the case.

On inflation, we expect core PCE to rise 0.3% MoM, but the more important development will be annual revisions. We expect revisions to lower core PCE inflation by roughly 30bp, leaving core PCE around 3.1% YoY in August. While still stronger than other underlying inflation measures, revisions could leave inflation running below the Fed's latest projections.

Spending in August should be strong in line with a rebound in retail sales from a weak July. Annual GDP revisions will also impact activity and income data for the past five years. These revisions also have potential to impact current-quarter estimates of Q3 GDP (Atlanta Fed GDPNow stands at 5.0%). Advance release trade data could also have significant implications for Q3 GDP.

Veronica Clark

Nonfarm Payrolls – Citi: 85k, median: 100k, prior: 162k

Private Payrolls – Citi: 70k, median: 90k, prior: 127k

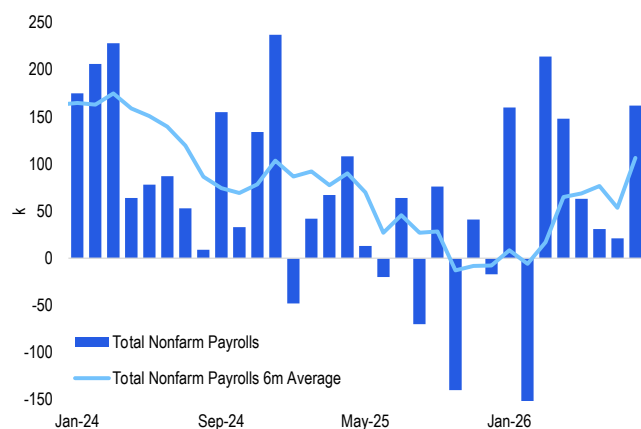
Manufacturing Payrolls – Citi: 10k, median: 10k, prior: 16k

After a surprisingly large jump in August, we expect nonfarm payroll employment to moderate with a still-solid 85k jobs in September. But we would continue to highlight that monthly volatility and possible revisions to payrolls are both likely to remain larger than usual. We still expect average job growth to remain soft throughout the year, reflecting a smaller labor force.

We would see risks around September payrolls as mostly two-sided, but do expect some payback from strong August either through revisions or upcoming weakness in some month. One issue is that the seasonal adjustment of August payrolls looked abnormally strong. Over the year, cumulative seasonal adjustment factors should be close to zero (some months are adjusted higher, some months lower). But so far, cumulative seasonal adjustment in 2026 is running about 100k stronger compared to last year. This would suggest some offsetting weakness in some upcoming month. Additionally, leading survey data such as NFIB hiring plans suggest some near-term weakness before possibly stronger payrolls at the end of the year.

Still, September labor market data have been solid, with low initial and continuing jobless claims suggesting low layoffs and some possible increase in hiring. But to the extent that low claims reflect a smaller labor force, low claims may not necessarily be associated with stronger payrolls. At a sector level, there may still be some strength in government employment, as education employment rebounds from the summer months after the restart of the school year (likely impacted by bad seasonal adjustment). Manufacturing employment and some subsectors of construction employment may also remain strong due to AI-investment demand.

Figure 9. We are cautious that payroll data could remain very volatile



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Source: Citi Research, BLS

Figure 10. Average hourly earnings could slow more in the next three months



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Source: Citi Research, BLS

Average Hourly Earnings MoM – Citi: 0.2%, median: 0.3%, prior: 0.3%

Average Hourly Earnings YoY – Citi: 3.1%, median: 3.2%, prior: 3.1%

We expect a modest 0.2%MoM increase in average hourly earnings in September, with the year-on-year measure remaining at 3.1%. Average hourly earnings have slowed over the course of this year, falling back to a typical pre-pandemic pace. Over the next few months, base effects are particularly favorable for further slowing in AHE as stronger readings from last year will drop out of the 12-month period. These stronger readings in October/November 2025 may have been boosted by reduced hours worked (the denominator of AHE) around the government shutdown. Slowing in wage growth and somewhat softer payrolls compared to August strength should keep income growth modest in nominal terms and particularly soft in real terms as gas prices rise in September.

We think wage trends will become increasingly important over the coming months for assessing any tightening in the economy outside of strong investment and rising asset prices. Markets could be sensitive to average hourly earnings as an early signal of wage trends. With the risk of softer AHE over the next ~3 months (in year-on-year terms, see above), this can be one factor helping to reduce pricing of rate hikes this year. Ultimately, wage measures like the employment cost index and the Atlanta Fed's wage tracker will be most important for most Fed officials. Most forward-looking signals we track suggest these wage measures moving sideways at typical pre-pandemic rates.

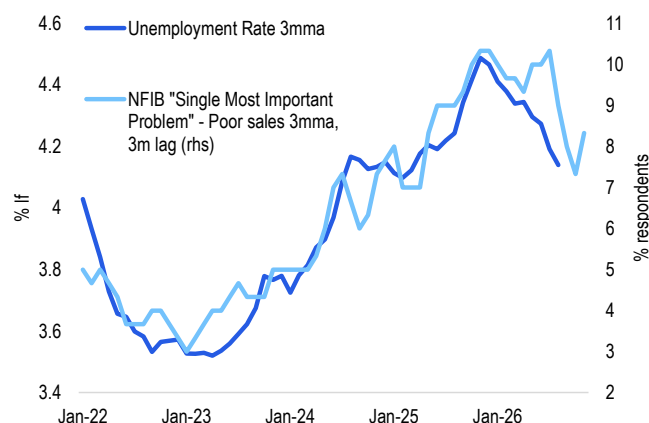
Unemployment Rate – Citi: 4.2%, median: 4.1%, prior: 4.1%

After remaining at 4.1% for the last two months, we expect a slight increase in the unemployment rate to 4.2% in September. At 4.14% in August, the unemployment rate was already very close to rounding to 4.2%. We expect the slight uptick in unemployment to be accompanied by another modest increase in the labor force participation rate. Residual seasonality the last few years has generally implied a modestly higher participation rate late in the summer when school restarts, offsetting declines earlier in the summer. We do think some of the decline in participation earlier in the year reflected these seasonality issues.

But rather than residual seasonality, the more overwhelming force impacting the labor market data this year (particularly the labor force participation rate) seems to be demographic changes of slowing immigration and an aging population. Participation is unlikely to fully rebound to levels of the last few years.

Leading signals for the unemployment rate in the near-term are mixed, with some survey data still suggesting upside risk. On the other hand, there remains the possibility that the labor force continues to shrink and unemployment falls further. Initial and continuing jobless claims have been at very low levels all year and continue to fall. But we would note that without stronger wage growth, a lower unemployment rate is not necessarily a sign of a tightening labor market. Rather, the demographic forces that have put downward pressure on unemployment (aging population, slowing immigration), would imply a lower NAIRU.

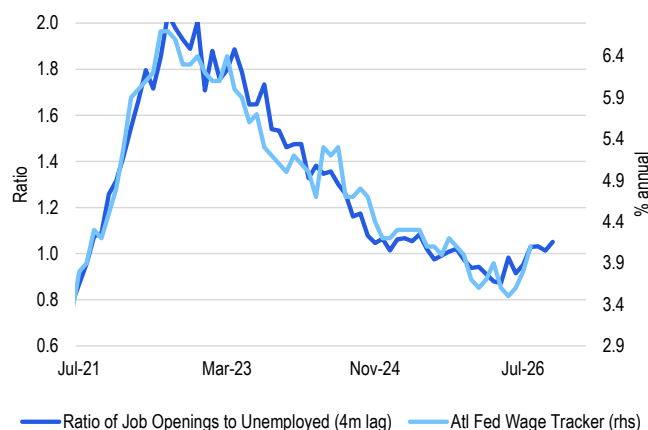
Figure 11. Some survey data suggest a stabilizing unemployment rate with possible upside risk still



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Source: Citi Research, BLS

Figure 12. JOLTS could be an early sign of whether wage pressures are building



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Source: Citi Research, BLS

JOLTS Job Openings – Citi: 7380k, median: 7225k, prior: 7271k

We expect a rebound in JOLTS job openings to 7380k in August but with high frequency data on job postings from Indeed.com suggesting openings largely continue to move sideways around 7-7.5 million in coming months.

We continue to think that rather than the level of openings themselves, details of labor market flows from the JOLTS report are the more useful signals for labor market dynamics. Given strong payroll job growth in August, there should either be an increase in hiring in JOLTS data (more positive signal for stronger labor market) or a decline in separations like layoffs or quits (a slightly less positive signal). If the difference in August hires less separations is not quite as strong as 162k August payrolls, there could be revisions lower to August payrolls and/or weaker September job growth.

While the level of JOLTS openings is not necessarily a useful signal of demand for workers, changes in openings could be a reflection of whether demand is picking up or not. So far, demand seems stable and moving sideways. But the trend of job openings could be an increasingly important signal, especially as the ratio of job openings to unemployed workers tends to lead trends in wage growth by a few months. We think wages will increasingly become an important sign for markets

and Fed officials for whether the economy broadly is tightening and requires higher policy rates to cool demand (beyond rising asset prices and strong AI investment).

PCE Price Index MoM – Citi: 0.3%, median: 0.4%, prior: 0.2%

PCE Price Index YoY – Citi: 3.5%, median: 3.7%, prior: 3.7%

Core PCE MoM – Citi: 0.3%, median: 0.3%, prior: 0.2%

Core PCE YoY – Citi: 3.1%, median: 3.3%, prior: 3.3%

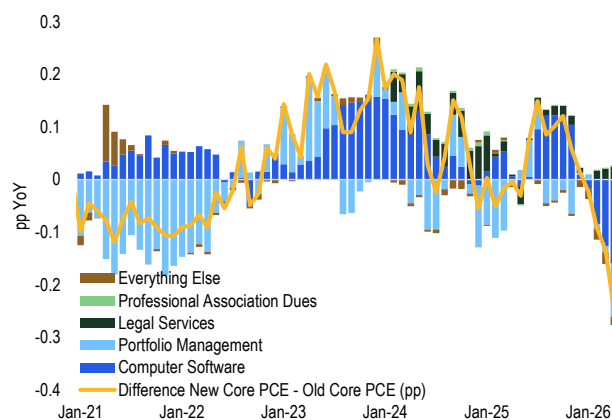
Core PCE should rise 0.29%MoM in August, a similarly strong increase as in core CPI with a boost from factors like education services and wireless services. Core goods prices should also rise modestly, with slowing in housing services as shelter inflation details from CPI were soft. Airfares continue to rise with higher jet fuel costs.

But there is much more uncertainty around August PCE than usual due to annual revisions and methodological changes to key components. For the month of August specifically, we estimate new methodologies will add around 4bp to core PCE. We are penciling in a 0.5% decline in each of portfolio management services and computer software and accessories. CPI computer software and accessories fell by more in August, although we suspect certain PPI components will comprise a much larger share of the PCE computer software index. PPI portfolio management fell by more in August, but it is very unclear how this component in PCE will change with its new methodology, especially on the initial release of monthly PCE data.

We expect core PCE to rise 3.14%YoY in August, incorporating revisions to the last five years of data. This downward revision of about 30bp would be very close to the 3.2%YoY estimate that Chair Warsh mentioned for August core PCE in his opening remarks of the September FOMC press conference (an estimate presumably from the Fed staff). Headline PCE should see similar 20–30bp downward revisions.

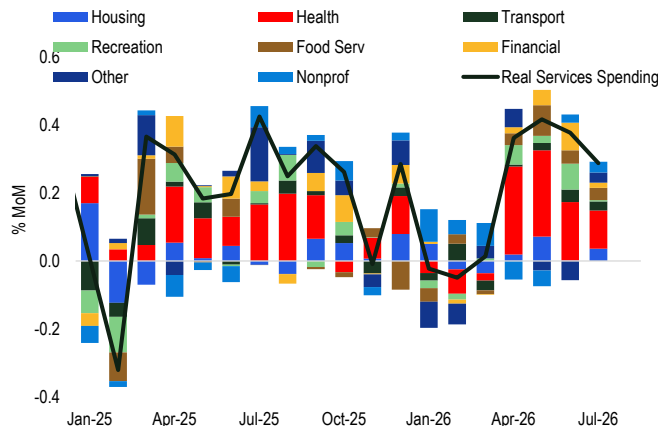
Headline PCE should rise 0.34%MoM, rounding to 0.3% but close to 0.4%. Year-on-year PCE should rise 3.5% also with downward revisions.

Figure 13. We expect core PCE to be revised about 30bp lower in August



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Source: Citi Research, BEA

Figure 14. Strength in consumption has been partly concentrated in health care



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Source: Citi Research, BEA

Personal Income – Citi: 0.5%, median: 0.5%, prior: 0.4%

Personal Spending – Citi: 0.7%, median: 0.9%, prior: 0.2%

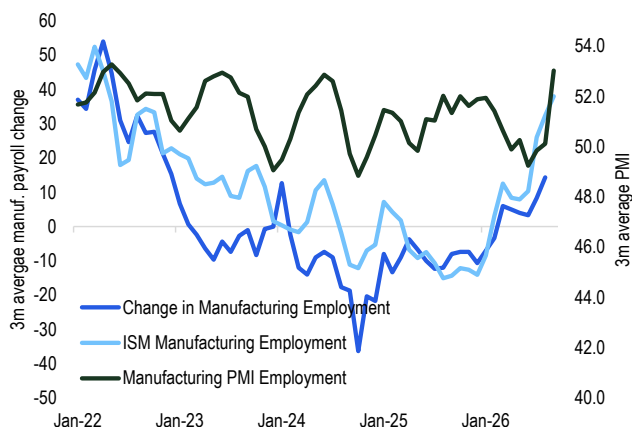
Income and spending should be strong in August, although with more uncertainty this month over the recent trend of consumption and income given annual revisions incorporated with August data. We expect a solid 0.5% increase in personal income and a strong 0.7% increase in spending, with strength led by goods spending. Retail sales rebounded strongly in August from a decline in July, with the average increase in spending over the two months still solid. But as real income growth remains soft with high gas prices, further upside to spending could be limited. Much of the recent strength in services consumption however has likely not been impacted by softer incomes. Strong consumption of health care services would largely not be paid for by consumers directly (instead paid by insurance or the government).

The savings rate should decline again in August, although with uncertainty around the recent trajectory of savings. In recent years, annual revisions have implied higher income than previously estimated and thus higher savings. We think large upward income revisions are less likely this year as immigration has slowed, and previous revisions may have been related to undercounting of new immigrants. Revisions to real consumption, however, could be slightly higher as we expect PCE inflation to be revised lower (possibly implying stronger consumption).

ISM Manufacturing – Citi: 55.2, median: 55.0, prior: 54.6

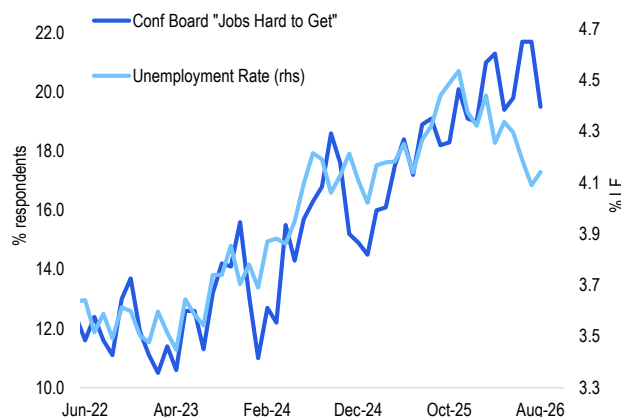
ISM manufacturing should rise to 55.2 in September from 54.6 in August, signaling continued strength in the manufacturing sector. A very strong increase in the S&P manufacturing PMI in September could suggest upside risks, but various regional manufacturing indicators, while still strong, did not increase quite as much as PMI. We typically take more signals on manufacturing activity from the ISM survey than PMI. For example, ISM manufacturing employment tends to correlate more closely with manufacturing payrolls and has been stronger than PMI employment for a few months, suggesting still-strong manufacturing job growth. AI investment demand will likely continue to support manufacturing activity into next year, although some non-AI activity could increasingly face headwinds from higher rates and fading fiscal support.

Figure 15. Details of the ISM survey are better signals for hard data than PMI details



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Source: Citi Research, ISM

Figure 16. Consumer perceptions around the labor market improved in August but generally remain weak



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Source: Citi Research, The Conference Board

Conf. Board Consumer Confidence – Citi: 87.7, median: 90.0, prior: 89.4

We expect the Conference Board's consumer confidence measure to fall further in September to 87.7, alongside similar weakening in the University of Michigan survey in September. Weaker consumer confidence could be a reflection of rising gas prices, and stands in contrast to strong business survey data in September such as PMI indices. Details of the Conference Board measure in particular however could be useful for gauging labor market risks. In August, consumers did perceive better hiring conditions with an improvement in the labor market differential (the share saying jobs are plentiful less the share saying jobs are hard to get). This corresponded with stronger payroll job growth in August. Continued improvement in sentiment around the labor market could signal stronger employment data. However, sentiment around the labor market still seems softer than hard data suggest, with an elevated share of consumers saying jobs are hard to get still implying upward risks to the unemployment rate.

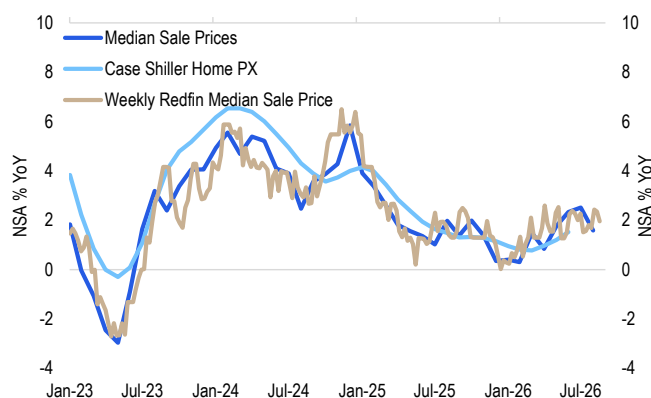
S&P Case Shiller 20-City MoM SA – Citi: 0.27%, median: 0.20%, prior: 0.24%

S&P Case Shiller 20-City YoY NSA – Citi: 2.00%, median: NA, prior: 2.10%

S&P Case Shiller US HPI YoY NSA – Citi: 1.49%, median: NA, prior: 1.52%

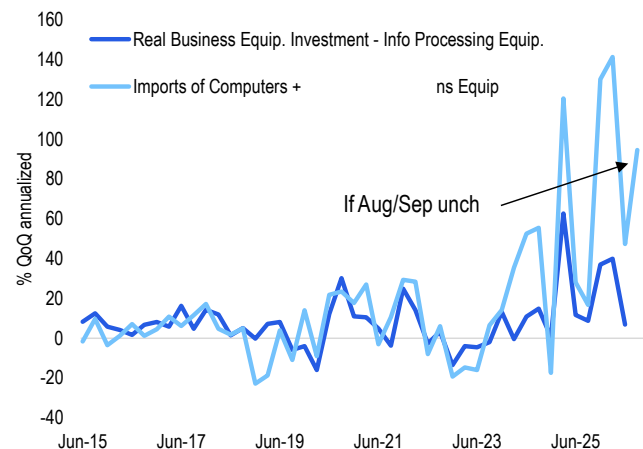
Case Shiller home prices, our preferred monthly measure of home prices, should rise modestly on the month in July and continue to rise around 1-2%YoY, softer than a typical pre-pandemic pace of home price appreciation. Some modest pick-up in median home prices recently could reflect sales of more expensive homes, suggesting that Case Shiller prices, which will control for the quality of homes sold, could remain more modest. With mortgage rates rising substantially again, some high frequency data have recently started to show renewed slowing in housing activity. Indeed, recent weekly data on home prices suggest the previous pick-up in prices may have stalled. We expect higher rates to keep home prices soft through the rest of this year.

Figure 17. Home price appreciation remains modest



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Source: Citi Research, S&P

Figure 18. Strong capital goods imports are supporting business equipment investment



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Source: Citi Research, Bureau of the Census

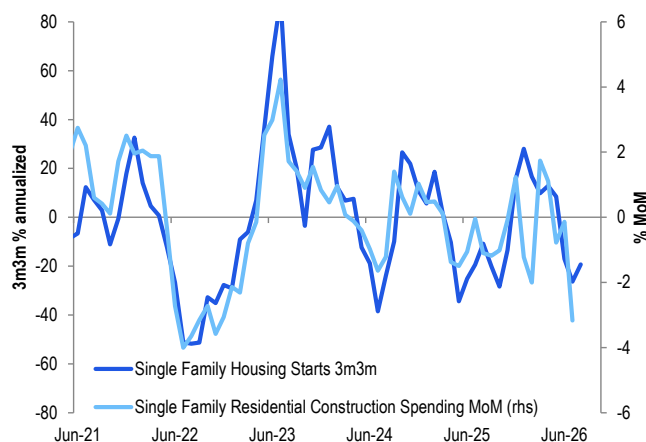
Advance Goods Trade Balance – Citi: **-\$119.3b**, median: **-\$113.9b**, prior: **-\$118.9b**

The goods trade balance should continue to widen further in preliminary August data, to **-\$119.3 billion** with increases in both exports and imports. This could partly reflect renewed increases in commodity prices pushing up nominal trade flows. There is still some modest downside risk to industrial supplies exports from a further pullback in gold exports, but trade in gold should not impact GDP growth. We expect strength in imports to remain driven by strong capital goods imports, although these could moderate slightly in August after a surge in July. Overall capital goods imports in Q3 should remain very strong, signaling still-strong business equipment investment in GDP driven by AI-demand.

Construction Spending – Citi: **-0.1%**, median: **0.1%**, prior: **-0.5%**

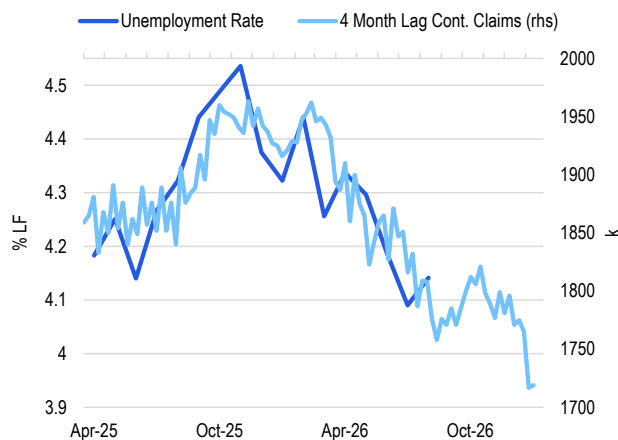
We expect another decline in overall construction spending in August of 0.1%MoM, with weakness continuing in residential construction. While single family housing starts rebounded in August, construction spending on single family residential units tends to follow starts with a lag and will likely decline again. As homebuilder sentiment has already started to decline with higher mortgage rates, we expect permits and starts of single family units to pullback further in coming months. This should keep residential construction spending, a direct input into residential investment in GDP, soft. Outside of residential construction, construction of most other projects remains weak. Spending on building of data centers remains strong, but most other categories of construction spending continue to decline. This partly reflects weak spending on building of manufacturing facilities as CHIPS act spending that was very robust a few years ago continues to fade. Construction of many projects other than rate-insensitive data centers could face headwinds from higher borrowing costs.

Figure 19. Residential construction spending will likely remain weak



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Source: Citi Research, Bureau of the Census

Figure 20. There could be further declines in the unemployment rate if claims stay low



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Source: Citi Research, DOL

Initial Jobless Claims – Citi: 203k, median: NA, prior: 197k
Continuing Claims – Citi: 1725k, median: NA, prior: 1719k

Initial and continuing jobless claims have been very low throughout the year but have fallen to even lower levels in recent weeks following the Labor Day holiday. We expect initial claims to rise modestly to 203k the week of September 25 and continuing claim to rise to 1725k the week of September 19. If continuing claims remain at very low levels, this could suggest a renewed decline in the unemployment rate within a few months. While continuing claims should correspond more concurrently with labor market conditions in the monthly employment reports, recent patterns have implied continuing claims leading the unemployment rate.

Some of the decline in continuing claims could reflect increased hiring, but could also just reflect that initial claims have been very low (fewer flows onto unemployment insurance in the first place). Ultimately, the path of wage growth will be key indicator for whether lower unemployment reflects a retightening of the labor market. So far this year, we think the most overwhelming driver of low claims is an overall smaller labor force given slowing immigration and an aging population. To the extent that these large demographic shifts also mean a lower natural rate of unemployment, lower unemployment would not necessarily reflect a tightening labor market that is creating upward pressure on prices and wages.

Fed Monitor

Figure 21. FOMC ranked from hawkish to dovish

Name	Position	2026 Voter	2027 Voter	2028 Voter	Term Exp.
Hammack	Cleveland Fed	Y	N	Y	2031
Logan	Dallas Fed	Y	N	N	2031
Schmid	Kansas City Fed	N	N	Y	2031
Musalem	St Louis Fed	N	N	Y	2031
Barkin	Richmond Fed	N	Y	N	2028
Venable*	Atlanta Fed	N	Y	N	interim
Barr	Board of Governors	Y	Y	Y	2032
Kashkari	Minneapolis Fed	Y	N	N	2031
Goolsbee	Chicago Fed	N	Y	N	2031
Collins	Boston Fed	N	N	Y	2031
Powell	Board of Governors	Y	Y	Y	2028
Jefferson	Board of Governors	Y	Y	Y	2036
Waller	Board of Governors	Y	Y	Y	2030
Warsh	Board of Governors (Chair)	Y	Y	Y	2030
Paulson	Philadelphia Fed	Y	N	N	2031
Cook	Board of Governors	Y	Y	Y	2038
Daly	SF Fed	N	Y	N	2028
Williams	New York Fed	Y	Y	Y	2031
Bowman	Board of Governors	Y	Y	Y	2034

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* Venable is a temporarily representing Atl Fed at Fed meetings until a new President has been chosen.

Source: Citi Research

Figure 22. Who's who in the Jun FOMC Dot Plot, in our view

	2026	2027
4.375	Hammack, Logan, Musalem, Schmid	Schmid, Hammack, Musalem, Barkin, Atl Fed*, Kashkari, Logan, Barr
4.25		
4.125	Barkin, Kashkari, Collins, Goolsbee, Atl Fed*, Daly, Paulson, Powell, Jefferson, Barr, Cook, Waller	Goolsbee, Collins, Powell, Jefferson, Waller, Paulson
4		
3.875	Bowman, Williams	
3.75		
3.625		Williams, Daly, Cook
3.5		
3.375		
3.25		
3.125		Bowman
3		
2.875		
2.75		

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* Venable is a temporarily representing Atl Fed at Fed meetings until a new President has been chosen.

Source: Citi Research

Figure 23. Citi Policy Rate Forecast

Fed Meeting	Citi Forecast	
	Policy Range	Change
16-Sep-26	3.75-4.0	0.25
28-Oct-26	3.75-4.0	0
9-Dec-26	3.75-4.0	0
27-Jan-27	3.75-4.0	0
17-Mar-27	3.75-4.0	0
28-Apr-27	3.75-4.0	0
9-Jun-27	3.5-3.75	-0.25
28-Jul-27	3.5-3.75	0
15-Sep-27	3.25-3.5	-0.25
27-Oct-27	3.25-3.5	0
8-Dec-27	3.0-3.25	-0.25

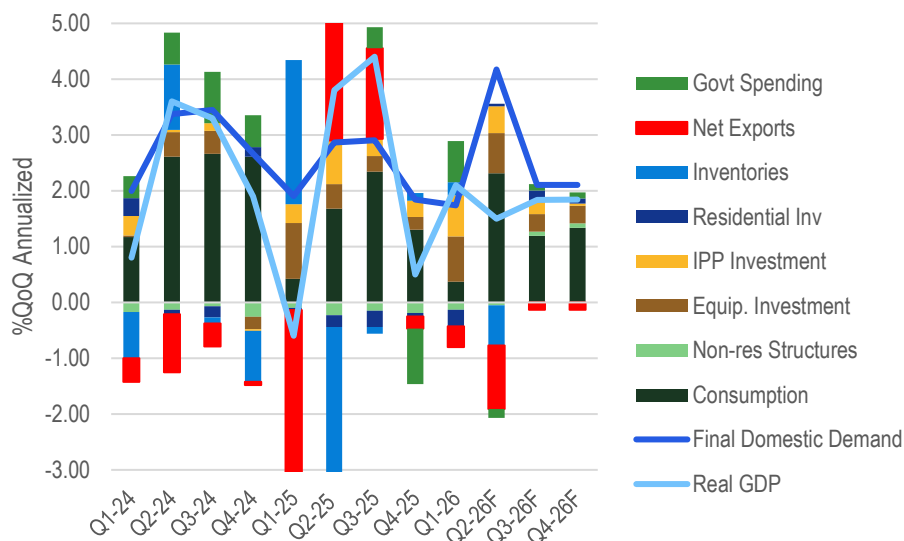
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Source: Citi Research

GDP Tracking

We expect a 1.8% increase in Q3 2026 real GDP.

Figure 24. GDP growth tracking



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Source: Citi Research, Bureau of Economic Analysis

Figure 25. Q3 2026 GDP forecast and contributions

Component	Citi		Atlanta Fed	
	As Of Sep-25	1wk chg	As of Sep-25	1wk chg
Consumption	1.2	0.0	2.8	0.0
Business Structures	0.1	0.0	0.0	0.0
Business Equipment	0.3	0.0	1.0	0.1
IPP	0.2	0.0	0.4	0.0
Residential	0.2	0.0	-0.2	0.0
Final Private Domestic Demand	2.0	0.0	4.1	0.1
Inventories	0.0	0.0	1.9	0.0
Government	0.1	0.0	0.4	0.0
Net Exports	-0.1	0.0	-1.4	0.0
GDP (QoQ SAAR)	1.8	0.0	5.0	0.1

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Source: Citi Research, Atlanta Fed

Inflation Forecasts

Figure 26. Citi 12-month inflation forecasts versus market pricing

Month	Market Pricing			Citi Forecasts					
	CPI NSA Index	CPI YoY	Implied Core*	CPI NSA Index	CPI YoY	Core CPI YoY	Core CPI MoM (SA)	Core PCE YoY	Core PCE MoM
Sep-26	336.660	3.7	0.42	336.383	3.6	2.36	0.177	3.17	0.239
Oct-26	337.350	3.6	0.14	336.964	#N/A	#N/A	0.140	3.12	0.182
Nov-26	336.550	3.8	-0.01	336.565	3.8	2.42	0.123	3.10	0.156
Dec-26	336.230	3.8	0.22	336.012	3.7	2.35	0.141	2.94	0.173
Jan-27	337.290	3.7	0.28	336.880	3.6	2.31	0.241	2.81	0.322
Feb-27	338.320	3.5	0.21	337.801	3.4	2.32	0.217	2.67	0.254
Mar-27	339.620	2.8	0.29	338.690	2.6	2.28	0.161	2.56	0.185
Apr-27	340.480	2.2	0.15	339.647	2.0	2.03	0.154	2.47	0.179
May-27	341.300	1.8	0.18	340.599	1.6	1.98	0.171	2.27	0.161
Jun-27	341.874	2.4	0.13	341.111	2.1	2.17	0.171	2.28	0.161
Jul-27	342.193	2.5	0.17	341.237	2.2	2.15	0.178	2.20	0.167
Aug-27	342.776	2.3	0.24	341.619	2.0	2.04	0.178	2.07	0.167
Sep-27	343.323	2.0	0.32	342.108	1.7	2.06	0.191	2.01	0.179

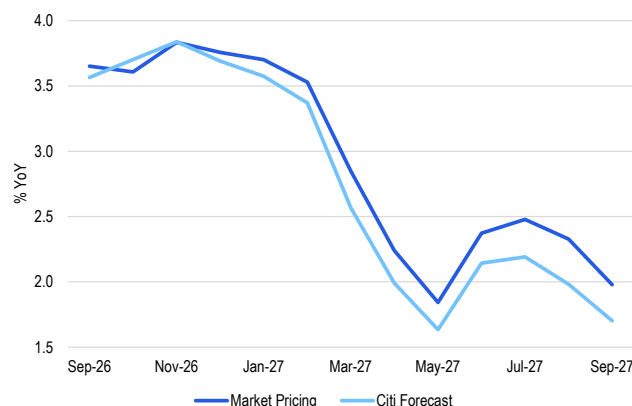
*market implied core CPI using Citi assumptions for energy, food, seasonal factors as of

24-Sep

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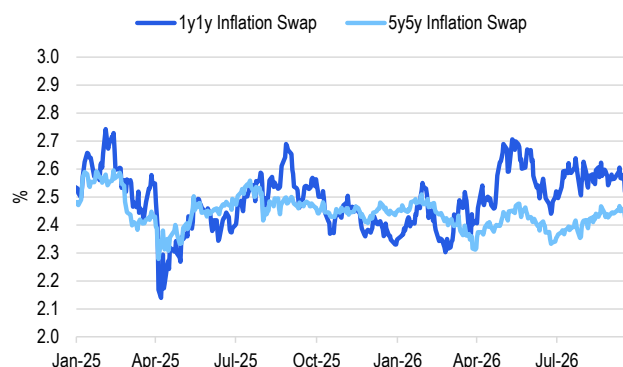
Source: Citi Research, Bloomberg

Figure 27. Citi CPI forecast versus market pricing



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Source: Citi Research

Figure 28. Market forward inflation pricing



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Source: Citi Research

Figure 29. Economic indicators forecast

		2026F	2027F			2026				2027			
						Q1	Q2	Q3	Q4	Q1	Q2	Q3	Q4
GDP	%Avg YoY	2.0	1.8	%QoQ Ann		2.1	1.5	1.8	1.8	1.8	1.8	1.8	1.8
Consumption	%Avg YoY	2.1	2.1	%QoQ Ann		0.5	3.4	1.7	1.9	2.1	2.1	2.1	2.1
Business Equip. Investment	%Avg YoY	9.3	4.2	%QoQ Ann		15.8	13.6	5.0	5.0	3.0	3.0	3.0	3.0
Business IPP	%Avg YoY	8.0	1.3	%QoQ Ann		13.8	8.8	3.0	0.5	0.5	0.5	0.5	0.5
Business Structures	%Avg YoY	-3.3	2.7	%QoQ Ann		-4.7	-1.8	3.0	3.0	3.0	3.0	3.0	3.0
Residential Investment	%Avg YoY	-2.9	2.7	%QoQ Ann		-7.8	1.2	2.0	3.0	3.0	3.0	3.0	3.0
Final Private Domestic Demand	%Avg YoY	2.5	2.2	%QoQ Ann		1.7	4.2	2.1	2.1	2.1	2.1	2.1	2.1
Government	%Avg YoY	0.2	0.6	%QoQ Ann		4.4	-1.0	0.7	0.7	0.7	0.7	0.7	0.7
Exports	%Avg YoY	4.5	3.1	%QoQ Ann		10.9	4.5	3.0	3.0	3.0	3.0	3.0	3.0
Imports	%Avg YoY	2.6	3.6	%QoQ Ann		11.8	12.5	3.0	3.0	3.0	3.0	3.0	3.0
Inventories	pp cont.	-0.3	0.0	pp cont.		0.2	-0.7	0.0	0.0	0.0	0.0	0.0	0.0
Headline PCE Deflator	%Avg YoY	3.7	2.5	%Avg YoY		3.1	3.9	3.8	4.0	3.4	2.5	2.3	2.0
Core PCE Deflator	%Avg YoY	3.3	2.6	%Avg YoY		3.1	3.4	3.4	3.4	3.0	2.6	2.4	2.3
Core CPI	%Avg YoY	2.5	2.2	%Avg YoY		2.5	2.7	2.4	2.4	2.3	2.1	2.1	2.2
Headline CPI	%Avg YoY	3.4	2.1	%Avg YoY		2.7	3.8	3.4	3.8	3.2	1.9	2.0	1.5
Average Hourly Earnings	%Avg YoY	3.3	3.0	%Avg YoY		3.6	3.4	3.2	2.9	3.0	3.0	3.0	2.9
Unemployment Rate	Avg %	4.5	4.3	Avg %		4.3	4.3	4.7	4.6	4.5	4.3	4.2	4.2
Monthly payroll growth	(1,000s) avg.	67.8	50.0	(1,000s) avg.		72.7	80.7	67.7	50.0	50.0	50.0	50.0	50.0
ISM Manf	Avg	52.9	52.0	Avg		52.6	53.3	53.7	52.0	52.0	52.0	52.0	52.0
Policy Range	% EOP	3.75-4.0	3.0-3.25	% EOP		3.5-3.75	3.5-3.75	3.75-4.0	3.75-4.0	3.75-4.0	3.5-3.75	3.25-3.5	3.0-3.25

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